

front but getting money from their channels takes upward of 65 days. This difficult commercial position prompts game publishers and developers to consider carefully the emerging mobile games market opportunity.

For publishers, the Mobile Internet provides the prospect of building online communities around game titles and to thereby better defend intellectual property rights. By revenue sharing with network operators on mobile games cash flow can be radically improved.

Another advantage is market reach. Nintendo is reported to have taken 10 years to sell 100m Game Boys 2 whereas the mobile phone industry will sell around 400 million mobile phones worldwide in 2001 alone.

Indeed, there is a 950 million mobile subscriber base worldwide. In many markets carriers subsidise the acquisition of the phone to win the customer's traffic. Furthermore, with consumers upgrading their mobile phone on average every 18 months, more and more consumers will acquire phones with packet data, WAP, Bluetooth and other capabilities, around which more sophisticated mobile games will develop.

Today the games you can play on a mobile phone are nowhere near as powerful as those on an X Box, Playstation 2, or Gamecube, but popular nevertheless. The mobile platforms are nevertheless becoming more powerful. Phones are becoming merged PDA's and communicators. The Ericsson R 380 is just one example.

A colour screen is another temporary disadvantage of the mobile games platform. In Japan (where mobile games are hugely popular), some 90 per cent of new phones already have colour screens. In Australia colour screens are now available and will be increasingly de rigueur.